

G.C. v. CALAVERAS UNIFIED SCHOOL DISTRICT et al

22CV45999

DEMURRER AND MOTION TO STRIKE

This is a civil action for alleged childhood sexual assault by an elementary school Special Education teacher, between the years 1996 and 1998. Before the Court this day is a defense demurrer and motion to strike, directed at all four causes of action set forth in the operative First Amended Complaint, as well as the prayer for treble damages.

The singular focus of the demurrer is an attack on the revival statute permitting this claim to be made, on the ground that it constitutes an unauthorized gift of public funds. Subsumed within the same argument is the related contention that Legislative revival of the cause of action for limitations purposes does not retroactively forgive plaintiff's failure to timely file a government tort claim. The demurrer and motion to strike require for success what could be described as a trial court going rouge, for no trial court staying within the lines would take such a bold position as to declare a statute of such magnitude as unconstitutional.

To prevail on a constitutional challenge at the demurrer stage, the moving party must show from the text itself that the enactment clearly, positively, and unmistakably poses a present total and fatal conflict with applicable constitutional prohibitions. The standard for a facial constitutional challenge to a statute is exacting. All presumptions and intendments favor the validity of a statute and mere doubt does not afford sufficient reason for a judicial declaration of invalidity. If the validity of the measure is fairly debatable, the demurrer must be overruled. (*Today's Fresh Start, Inc. v. Los Angeles County Office of Education* (2013) 57 Cal.4th 197, 218; *City of Los Angeles v. Superior Court* (2002) 29 Cal.4th 1, 10-11; *Nisei Farmers League v. Labor & Workforce Development Agency* (2019) 30 Cal.App.5th 997, 1012.)

Here, defendants contend that CCP §340.1(q), and to a lesser extent Govt. Code §905(m) and (p), are unconstitutional because those enactments – which permit stale claims of childhood sexual abuse to be automatically revived – violate California's constitutional prohibition against gifts of public funds (Cal. Const. Art. XVI §6). Pursuant to CCP §340.1(q), claims for childhood sexual abuse which would have been barred due to the claimant's failure to present a claim within six months of accrual would be revived if commenced before January 1, 2023 (or before reaching the age of 40, or within five years of discovery of an injury). Govt. Code §905(m) and (p) took the next step by eliminating the need for claimants to present any claim before commencing suit. Since one of the GCA's purposes is to provide the public entity sufficient information to enable it to investigate/settle claims without the expense of litigation (see *DiCampi-*

Mintz v. County of Santa Clara (2012) 55 Cal.4th 983, 991), removing the prefiling requirement for very old claims is seemingly at odds with the entire claim presentation system. Nevertheless, it is the law.

In general, CCP §340.1(q) and Govt. Code §905(m) and (p) have been viewed as remedies the Legislature was free to employ without running afoul of Constitutional provisions. (See *Coats v. New Haven Unified School District* (2020) 46 Cal.App.5th 415, 425-426; *Deutsch v. Masonic Homes of California, Inc.* (2008) 164 Cal.App.4th 748, 760; *Roman Catholic Bishop of Oakland v. Superior Court* (2005) 128 Cal.App.4th 1155, 1161.) No published authority has yet to address the revival statutes in the face of Cal. Const. Art. XVI §6, which provides in pertinent part as follows: “The Legislature shall have no power ... to make any gift or authorize the making of any gift, of any public money or thing of value to any individual, municipal or other corporation whatever.” The term “gift” in the constitutional provision includes all appropriations of public money for which there is no authority or enforceable claim, even if there is a moral or equitable obligation. (*Jordan v. California Department of Motor Vehicles* (2002) 100 Cal.App.4th 431, 450.) As a general rule, settling a disputed, yet colorable, claim does not constitute a gift. See *Page v. MiraCosta Community College District* (2009) 180 Cal.App.4th 471, 495:

“the settlement of a good faith dispute between the [district] and a private party is an appropriate use of public funds and not a gift because the relinquishment of a colorable legal claim in return for settlement funds is good consideration and establishes a valid public purpose.”

In accord, *Martin v. Santa Clara Unified School District* (2002) 102 Cal.App.4th 241, 253-254 [back pay to teacher suspended for admitted wrongdoing was not unconstitutional gift of public funds]. Defendants do not explain how a statute requiring a public entity *to defend* a tort claim it thought was behind it constitutes an unlawful gift of public money, when the same defense employed in a new case just filed would not. Both require the plaintiff to prove wrongdoing and damages to recover. Nothing about §340.1(q) or §905(m)/(p) obligates any defendant to actually pay a settlement on a meritless claim – at least not on its face. See *Heron v. Riley* (1930) 209 Cal. 507, 517:

“We are not strongly impressed with the contention of the respondent that the application of funds to pay judgments obtained against the state constitutes a gift of public money, within the prohibition of the Constitution ... The judgments which are to be paid bear no semblance to gifts. They must be first obtained in courts of competent jurisdiction, to which the parties have submitted their claims in the manner directed by law. In other words, they are judgments obtained after the requirements of due process of law have been complied with.”

As for the motion to strike, defendants are correct that there is no intellectually honest way to view CCP §340.1(b) as anything but a damage imposed primarily for the sake of example and by way of punishing the defendant for “covering up” an employee’s transgressions. Such exemplary damages are expressly prohibited by law. (See

Government Code §818.) When the Legislature passed AB 218, it could have easily created a carve-out in §818 for damages arising under §340.1(b), but it elected not to do so. This cannot be viewed as mere oversight given the breadth of AB 218. Although the issue is presently before the California Supreme Court, which will make the final decision on the matter, all three appellate courts tasked with deciding this very issue have concluded that the treble damage provision cannot be applied to public entities. (See *K.M. v. Grossmont Union High School District* (2022) --- Cal.Rptr.3d ---, --- Cal.App.5th ---, WL14391790 at *11-15 (opinion filed 10/25/22); *X.M. v. Superior Court* (2021) 68 Cal.App.5th 1014, 1026-1029 (review granted, but still citable for persuasion per CRC 8.1115(e)(1); *Los Angeles Unified School District v. Superior Court* (2021) 64 Cal.App.5th 549, 552 (review granted, but still citable for persuasion and conflict resolution per CRC 8.1115(e)(3)).) This Court sees no basis upon which to go in a different direction, particularly in light of what it considers to be the correct analysis employed in all three cases.

Demurrer Overruled. Motion to strike Granted Without leave to amend, but without prejudice to a motion for leave to amend should the California Supreme Court go a different way than expected. Defendants to answer in 10 court days.

The Clerk shall provide notice of this Ruling to the parties forthwith. Plaintiff to prepare the CCP §1019.5/CRC 3.1312 order thereon.

T.Z. v. CALAVERAS UNIFIED SCHOOL DISTRICT et al

22CV46000

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